

Outlook

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Follow-up: prove the early-warning model cannot see the future

Hi team,

The proposed repayment-stress model combines monthly snapshots, and Model Risk needs proof that every feature existed at the observation date.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use December 2021 as the new evidence point rather than recycling the earlier conclusion. Failure anecdotes are beginning to drive decisions, although retries and late posting may be making the problem look larger than the affected-customer population. Different teams have produced different answers from the same period, so population and timing rules need to be visible.

Can you test these explanations rather than choosing one at the start?

- performance is stable after strict time-based validation
- monthly snapshots duplicate later knowledge
- status or collections fields leak future outcomes

The decision is whether the model can enter validation or must return to feature engineering. Please give us a control view with the exceptions, owner and reason each item was included.

You should be able to build the evidence from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations; collections cases, promises to pay and recovery payments; monthly account snapshots, status events, limits, product enrolments and signatories. Use out-of-time validation and preserve event timestamps; do not random-split repeated observations of the same customer.

Thanks